CONTROLLED REVISION | LEGAL DECISION RECORD

Revised Compliance Assessment

Proposed purchase of Kestrel Health Network 5.10% Senior Revenue Notes, Series 2026A

Assessment date	Governing requirements snapshot	Approval timing	Record status
15 May 2026	Illinois snapshot frozen 15 May 2026	18 May 2026 committee approval slot	Replaces held preliminary draft

CONTROLLED DISPOSITION

PROCEED ONLY AFTER EXCEPTION APPROVAL AND ALL CONDITIONS PRECEDENT ARE COMPLETE

Policy status: does not meet policy as written under the adopted same-day-access liquidity application. The Notes are a liquidity exception; quantitative policy tests otherwise pass.

Decision asked of Legal

Support one controlled pre-trade disposition for Calderfield Industries' proposed purchase: determine policy status, the required approval path, and whether the order may be released. This assessment relies only on the supplied case record and its frozen Illinois requirements snapshot; its evidence cutoff is 15 May 2026, 16:30 CT. The 18 May 2026 approval slot is a decision timing, not a later evidence date.

The pending draft was defective because it labeled the Notes 'liquid' solely from a sub-90-day maturity without defining liquidity or testing access, transfer restrictions, settlement, or evidence quality. This controlled revision corrects that defect.

Binding conditions precedent

Owner	Concrete pre-trade condition	Executable timing
Fixed Income Sales Agent	Route the identified liquidity exception to Legal Counsel and the Compliance Officer; do not release the order while any listed control is outstanding.	Before final approval; packet complete by 17:00 CT, 15 May 2026.
Legal Counsel and Compliance Officer	Complete the Approval Matrix's required review of the exception.	Before final approval for the 18 May 2026 slot.
Investment Committee Chair and Corporate Treasurer	Record joint final exception approval.	After required reviews and before trade release on 18 May 2026.
Sales Operations Manager	File purchaser certificate and transaction record; verify institutional-transaction legend on confirmation and transfer record.	Before trade release; retain records for five years.

Transaction approval is separate from policy compliance: an approved exception permits a controlled trade release but remains an exception, not ordinary compliance. Sources: CR-02, CR-05, CR-06, CR-11, CR-12.

Transaction Economics and Policy-Test Schedule

Verified transaction facts | buyer: Calderfield Industries | issuer: Kestrel Health Network | instrument: Kestrel Health Network 5.10% Senior Revenue Notes, Series 2026A (the Notes)

Term	Source fact / calculation
Principal and price	$12,000,000.00 x 99.375% clean price + $24,650.00 accrued interest
Transaction Cost	$12,000,000.00 x 99.375% + $24,650.00 = $11,949,650.00. No other supplied fee or adjustment.
Dates and tenor	Trade 18 May 2026; settlement 20 May 2026 (ordinary T+2); maturity 31 July 2026; remaining maturity = 74 calendar days.
Policy value basis	Purchase cost for the new position; same post-trade Portfolio Value of $600,000,000.00 for issuer, sector, and reserve ratios.

Policy result

Policy test	Evidence / calculation	Result
4.2(d) category and liquidity	Revenue notes are permitted only when liquid. Under this assessment's same-day-access definition, Notes are non-liquid. That is the stated section 4.2(d) exception trigger.	EXCEPTION
Credit quality	S&P; Global Ratings A observed 15 May 2026 vs at least A-.	PASS
Maturity	74 days from trade vs no more than 180 calendar days.	PASS
Issuer concentration	($31,850,000.00 + $11,949,650.00) / $600,000,000.00 = 7.30%; limit 7.50%; headroom 0.20 pp.	PASS
Health care concentration	($161,500,000.00 + $11,949,650.00) / $600,000,000.00 = 28.91%; limit 30.00%; headroom 1.09 pp.	PASS
Liquid reserve	Pre: $120,000,000.00 / $600,000,000.00 = 20.00%. Post, excluding non-liquid Notes: ($120,000,000.00 - $11,949,650.00) / $600,000,000.00 = 18.01%; min 18.00%; headroom 0.01 pp.	PASS - NARROW
Approval criterion	Exception route, required reviews, and joint final approval are not complete until recorded under Approval Matrix v3.1.	CONDITION PRECEDENT

Overall policy status: does not meet policy as written because of the liquidity qualification; exception required. All non-liquidity eligibility, credit, maturity, concentration, and reserve tests pass using the source-prescribed purchase-cost and common post-trade denominator. The 0.01 pp reserve headroom is a calculation result, not a waiver.

Liquidity Application

Adopted definition and boundary

Assessment-only definition: 'Liquid' means an asset from which Calderfield can obtain same-day, known-value cash for the policy's liquid-reserve function. This is an access-to-principal definition, selected because section 5.3 protects available cash and directs one selected reading to be applied consistently to the instrument and reserve calculation. It is an interpretation for this assessment, not a permanent amendment to the policy.

> Same-day access is different from marketability. Same-day access asks whether principal can be converted to known-value cash that day through a contractual or operational right. Marketability asks whether a buyer might be found; it can involve a negotiated price, eligibility constraints, execution risk, consent, notice, and later settlement. Either concept could be relevant to the undefined word 'liquid,' but they cannot be silently interchanged.

Evidence weighed

Supports potential resale	Limits same-day access / reliable marketability
74 days to stated maturity; two institutional channels identified; a regional desk would consider a $5-8m piece at an indicative level.	No contractual same-day redemption; principal is payable at maturity; no holder put, demand, or comparable acceleration feature.
The source identifies ordinary T+2 settlement for the proposed purchase and potential institutional channels.	Transfer only to a QIB or institutional accredited investor for own account; purchaser-status documentation is required.
Indicative interest is evidence of possible resale, not evidence of cash access today.	Issuer prior written consent (not unreasonably withheld), purchaser certificate, and at least 3 business days' prior trustee notice condition transfer.
	No committed bid, executable quote, guaranteed execution, guaranteed price, or dealer-depth study. Ordinary T+2 settlement is not same-day cash.

Conclusion and fallback

The Notes are non-liquid under the adopted same-day-access definition. A remaining maturity below the familiar 90-day shorthand - here 74 days - is not, by itself, proof of liquidity. The shortcut stops being reliable where the holder has no same-day principal access or demand feature and any resale depends on restricted transferees, consent, notice, uncommitted interest, and non-same-day settlement.

> Because the normal dealer-depth study cannot be completed before the packet deadline, the source-bound fallback is a conservative contractual-access assessment using the verified terms and the limited indication only as corroborating, not determinative, evidence. It does not invent market depth or treat possible resale as a committed bid. Limitation: marketability has not been independently depth-tested; that uncertainty supports the conservative classification and the exception path.

Sources: CR-05 section 4.2(d) and Table C; CR-07 calculation instruction; CR-08 Table D and settlement note. The frozen Illinois snapshot supplies no separate controlling liquidity definition or market-depth test (CR-11).

Exception and Approval Path

Reconciled escalation interpretation

The policy says exceptions 'should' be escalated to Legal and Compliance before trade (section 8.4). The Approval Matrix says Legal Counsel and Compliance Officer have 'Required review' for an exception presented for approval, then specifies joint final approval and a trade-release gate. This creates a real tension: the prose is advisory in general wording, while the matrix is mandatory for a presented exception.

> Chosen interpretation: pre-trade escalation is mandatory for this transaction. The Notes are an identified section 4.2(d) liquidity exception and are being presented for the 18 May approval slot. The matrix is the more specific, operative workflow once an exception is presented. This does not rewrite the policy's word 'should'; it gives the matrix's required review and release-gate effect in its stated scope. Initial routing is required to place the exception before the required reviewers.

Control sequence

Separate control event	Role and control	Timing and operational effect
1. Initial escalation / routing	Fixed Income Sales Agent routes identified exception to Legal Counsel and Compliance Officer.	Before final approval; packet completion by 17:00 CT, 15 May 2026.
2. Required review	Legal Counsel and Compliance Officer each perform Required review of the exception presented for approval.	Before final approval for 18 May slot. Outstanding review blocks final approval.
3. Final approval	Investment Committee Chair and Corporate Treasurer record joint final exception approval.	After reviews and before trade release. This is not ordinary delegated policy approval.
4. Trade release	Fixed Income Sales Agent may release order only after listed final approval is recorded.	Before trade on 18 May 2026. No release while review or approval is outstanding.

Legal and Compliance review is not the same event as final approval. The Sales Agent's initial escalation routes the exception; Legal and Compliance provide required review; the Committee Chair and Corporate Treasurer decide final exception approval. An exception approved through that route remains an exception rather than ordinary policy compliance.

Operational result: the trade may not proceed while review, final exception approval, or the listed Illinois documentation control is outstanding. On completion, the controlled disposition permits the Sales Agent to release the order, subject to the stated source-bound limits. Sources: CR-05 section 8.4; CR-06 Approval Matrix v3.1; CR-12 checklists.

Period Comparison and Illinois Requirements

Kestrel Health Network - audited fiscal years ended 31 December

Metric	FY 2024 ended 31 Dec 2024	FY 2025 ended 31 Dec 2025	Change	Materiality result
Revenue	$401.0m	$428.4m	+$27.4m / 6.83%	Not material (< 10%)
Operating margin	5.6%	4.2%	-1.4 pp	Material (>= 1.0 pp)
Debt-service coverage	1.58x	1.36x	-0.22x	Material (>= 0.20x)
Days cash on hand	104 days	86 days	-18 days	Material (>= 15 days)
Unrestricted cash	$94.5m	$78.6m	$-15.9m / -16.83%	Material (>= 10%)
Accounts receivable days	52 days	61 days	+9 days	Not material (< 10 days)

Material-change interpretation

The source convention is a local reporting flag, not a new policy limit. Revenue increased on the first full-year Northgate ambulatory acquisition contribution and higher outpatient volumes, but the 6.83% increase does not meet the source's 10% materiality threshold. Margin deterioration is material and is linked to higher labor and Northgate integration / start-up costs; no completed savings evidence is in the record. Cash, coverage, and days cash on hand deteriorated materially. Management attributes the receivable / cash issue to commercial-payer timing and an ERP claim-edit conversion, calls the backlog temporary, and expects Q3 normalization, but the record contains no subsequent collection or recovery result. Coverage also reflects lower operating income and interest expense on 2025 capital projects.

The evidence supports a mixed, unresolved credit picture: the revenue driver has an identified operating source, while adverse margin, cash, and coverage trends are not proven temporary at the cutoff. This does not create a second policy breach, but it reinforces the conservative liquidity fallback and the need for the binding exception controls given the 0.01 pp reserve headroom.

Illinois application - frozen snapshot dated 15 May 2026

Result	Assessment application / transaction consequence
Registration	The proposed institutional sale is exempt from registration under the supplied snapshot: Calderfield's signed 15 May purchaser certificate states institutional status, own-account acquisition, and no distribution; source identifies an existing dealer relationship and no public advertising.
Documentation	Sales Operations Manager must file purchaser certificate and transaction record, apply institutional-transaction exemption legend to confirmation and transfer record before trade release, and retain records for five years.
Limits of exemption	The exemption is not Illinois approval, endorsement, recommendation, or a guarantee of investment merit. Illinois anti-fraud obligations continue notwithstanding exemption.
Liquidity	The snapshot supplies no separate controlling liquidity definition or market-depth test; it does not change this assessment's policy interpretation.

Sources: CR-09 comparative table and local convention; CR-10 management commentary; CR-11 frozen Illinois snapshot; CR-12 operations checklist.

Revision Record and Integrated Evidence Schedule

Substantive changes from held preliminary draft

Area	Held draft	Controlled revision
Liquidity	Called the Notes liquid because 74 days remained; supplied no definition or access / transfer analysis.	Adopts same-day known-value cash definition for this assessment; distinguishes marketability; classifies Notes non-liquid.
Policy disposition	Said all conditions passed and no exception was needed.	States policy does not meet section 4.2(d) as written; liquidity exception required. Non-liquidity tests pass.
Escalation	Said escalation was not needed; did not reconcile 'should' with 'Required review.'	Selects mandatory pre-trade routing / review for this presented exception; keeps routing, review, final approval, and release distinct.
Decision support	No integrated evidence, comparative-period analysis, Illinois control, or documented fallback for unavailable dealer-depth work.	Adds source-bound calculations, financial trend and materiality analysis, Illinois application, evidence schedule, and stated limitation.

Evidence schedule

Decision area	Verified source locator	Assessment treatment
Transaction / cost / dates	CR-02 Table A	F: terms. C: $11,949,650.00 purchase cost and 74-day tenor.
Policy and ratios	CR-05 sections 4.2(d), 5.1, 5.3, 8.4; CR-07 snapshot	F: limits / valuation. C: issuer 7.30%, sector 28.91%, reserve 18.01%.
Liquidity conclusion	CR-08 Table D and settlement note; CR-05 Table C	F: rights, transfer terms, limited indication. I: same-day-access definition; non-liquid result. L: no depth study.
Exception and approvals	CR-05 section 8.4; CR-06 Approval Matrix v3.1; CR-12 checklists	F: 'should' and Required review. I: matrix is operative for presented exception; mandatory pre-trade route.
Financial comparison	CR-09 financial table and materiality convention; CR-10 management discussion	F: two fiscal periods / drivers. C: changes and flags. I: mixed, unresolved credit trend.
Illinois conclusion	CR-11 frozen snapshot; CR-12 operations checklist	F: exemption facts, legend and retention. I: exemption applies under snapshot only; no state merit approval.

Legend: F = verified source fact; C = calculation from verified inputs; I = bounded interpretation; L = unresolved limitation. Unnecessary contact and settlement details are excluded.

FINAL CONTROLLED DISPOSITION: Proceed only after all listed controls are complete.
Fixed Income Sales Agent routes the liquidity exception; Legal Counsel and Compliance Officer complete required review.
Investment Committee Chair and Corporate Treasurer record joint approval; Sales Operations completes Illinois documentation.
Until then, the order must not be released.